

LAKSH'S DAILY BRIEF

Laksh's Daily Brief — September 1, 2026

Tuesday, September 1, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



AI Jazeera — Is Trump wooing Russia again — and why?



AI Jazeera — Football Fandom: Who owns your loyalty?



Guardian World — MapQuest app reaches No 1 on US Apple list after defying Trump's Lake Ontario order

1. World & Geopolitics

Oil surges past \$92 after tanker attacks in the Strait of Hormuz; Iran and US trade strikes.

Global oil prices jumped above \$92 a barrel on Tuesday after reports that two tankers were struck in the Strait of Hormuz — the narrow waterway between Iran and Oman through which about 20% of the world's oil passes ([MarketWatch](#)). This is a direct escalation from the previous brief's story: the US had attacked Iranian targets on Larak Island, and Iran retaliated by attacking two American bases in Jordan ([CNBC](#)). The tanker strikes appear to be a separate but related action — likely by Iranian-backed forces targeting commercial shipping to pressure the US. Iran also called for a return to the "June deal" (a previous ceasefire framework), but the US has not responded. *Why it matters:* The Strait of Hormuz is a chokepoint (a narrow passage where disruption can block global supply). Even a temporary closure sends oil prices higher, which feeds into inflation — and the Fed is already worried about inflation staying too high. *Second-order effect:* Higher oil prices hurt countries that import oil (most of Asia, Europe) and help oil exporters. They also raise the cost of gasoline and diesel, which voters feel directly — meaning this could shape the US midterm elections in November ([Invezz](#)). *What is uncertain:* It is unclear if the tanker attacks were officially ordered by Iran's leadership or by a proxy group operating independently.

Putin rejects Zelenskyy's proposal for face-to-face talks, demands territorial concessions.

Russian President Vladimir Putin said he sees "no point" in meeting with Ukrainian President Volodymyr

Zelenskyy, sticking to Russia's territorial demands ([Times Now](#)). Zelenskyy had proposed a full ceasefire while negotiations continue, with talks starting from the existing frontline. Putin's rejection means the war will continue for now, with no diplomatic off-ramp.

Background: Russia currently occupies about 18% of Ukrainian territory. Putin's demands include recognition of that land as Russian, which Ukraine cannot accept. *Why it matters:* A frozen conflict (a war that stops but is not resolved by a peace treaty) means continued sanctions on Russia, continued energy price pressure in Europe, and continued military spending by NATO countries. This week, Lockheed Martin announced it is expanding European production as NATO weapons demand surges ([The Defense Watch](#)). That is a direct consequence of the Ukraine war.

US House aims to avoid government shutdown amid GOP hardliner resistance.

The House is expected to vote Tuesday on a short-term spending bill (a "continuing resolution") that would keep the government funded until after the November midterm elections ([CNBC](#)). Hardline Republicans in the House Freedom Caucus are resisting, demanding spending cuts. *Why it matters:* A government shutdown would disrupt everything from national parks to economic data releases. It would also be politically damaging for the party in power ahead of an election. The fact that the bill extends past the midterms suggests Republicans want to avoid a shutdown fight during the campaign season.

Army Secretary Dan Driscoll resigns after 18 months.

The White House announced that Army Secretary Dan Driscoll is stepping down ([The Washington Post](#)). No reason was given publicly, but the context is that the Army is under strain from increased recruiting demands and the need to modernize equipment. Driscoll's departure adds to the turnover in the Trump administration's national security team.

US accused of meddling in Brazilian election, echoing Cold War tactics.

Claims have emerged that the Trump administration, particularly Secretary of State Marco Rubio, is trying to influence Brazil's upcoming congressional elections against leftist candidates ([The Guardian](#)). The accusations draw parallels to CIA intervention in 1962. *Why it matters:* Brazil is the largest economy in Latin America and a major agricultural exporter. If the US is seen as interfering, it could damage relations and push Brazil closer to China. The story is also a reminder that great-power competition extends beyond military conflict to political influence operations.

CIA chief visits Moscow; Russian finance minister attends G20 in the US.

CIA director's visit to Moscow and Russian Finance Minister Anton Siluanov attending the G20 meeting in North Carolina signal a possible thaw in US-Russia dialogue despite the Ukraine war ([Al Jazeera](#)). Siluanov's presence at the G20 was notable because the US had previously imposed personal sanctions on him. *Why it matters:* The G20 is a forum where finance ministers coordinate on global economic issues. Russia's attendance suggests the US is willing to separate economic diplomacy from the Ukraine conflict — at least for now. The G20 meeting itself is happening in North Carolina, with finance ministers from around the world gathering ([NPR](#)). Topics likely include inflation, debt, and the Iran situation.

Taiwan's military drills reveal unspoken blueprint for resisting a Chinese invasion.

Taiwan's annual Han Kuang exercise, now in its sixth

night, has moved inland to simulate fighting in Taipei's streets ([Business Insider](#)). The progression from coastal defense to urban warfare suggests Taiwan's strategy is to delay a Chinese invasion long enough for US or allied forces to arrive. *Why it matters:* Taiwan is the world's most important semiconductor manufacturing hub (TSMC makes the most advanced chips). A Chinese invasion would disrupt the global chip supply chain. The drills also come as the US top diplomat in Taipei said US-Taiwan ties have "never been stronger" ([Reuters](#)). Meanwhile, China is trying to push Taiwan out of the Pacific Islands Forum, a diplomatic move to isolate Taiwan ([The Diplomat](#)).

China's 'South Tibet' narrative signals continued border tension with India.

China has been using the term "South Tibet" to refer to Indian territory in the eastern Himalayas, which India claims as part of its state of Arunachal Pradesh ([StratNewsGlobal](#)). This is a rhetorical escalation in the long-running border dispute. *Why it matters:* India and China are the world's two most populous countries, and their border has seen deadly clashes (most recently in 2020). Any escalation ties up Indian military resources and could affect trade routes.

Apple transitions to new CEO John Ternus as Tim Cook steps down.

After 15 years as CEO, Tim Cook has been replaced by John Ternus, the former hardware chief ([The Verge](#)). Ternus takes over at a critical time: Apple faces soaring memory prices (which affect iPhone costs), AI challenges (Apple has been slower to integrate AI into its products), and geopolitical pressures from both the US and China ([CNBC](#)). Cook's legacy includes not just the iPhone but also carefully managing relations with President Xi Jinping and President Trump ([The Verge](#)). *Why it matters:* Apple is the most valuable US company by market cap. A change in leadership could mean shifts in strategy — more aggressive AI investments, changes in supply chain management, or different approaches to China.

2. Markets, Money & Deals

10-year Treasury yield hits highest since January 2025 as oil prices fuel inflation worries.

The 10-year yield (the interest rate the US government pays to borrow for 10 years, and a benchmark for all

other borrowing) rose to levels not seen since January 2025, driven by the surge in oil prices ([CNBC](#)). Higher oil prices push up headline inflation (CPI and PCE), which makes investors expect the Federal Reserve will keep interest rates high — or even raise them. *Why it matters:* Rising yields make borrowing more expensive for everyone: companies, homebuyers, and the government. They also make stocks less attractive compared to bonds (since bonds now pay more). The yield curve (the gap between short-term and long-term yields) is watched closely here.

Fed Governor Barr says he'll support a rate hike if inflation doesn't ease.

Fed Governor Michael Barr, a top official at the central bank, said he is concerned about "broader price pressures taking hold" and would support raising interest rates if inflation does not come down ([CNBC](#)). This is a hawkish (pro-rate-hike) statement. *Why it matters:* The Fed had been in a "wait and see" mode after cutting rates earlier this year. Barr's comments suggest the next move could be a hike, not a cut. Markets are now pricing in a possible September rate hike, according to the FedWatch tool (which tracks the probability of rate changes based on futures contracts). This is a big shift from just a few months ago when the market expected multiple cuts.

Euro zone inflation back above 3%; ECB likely to hike rates.

Euro zone inflation rose above 3% for the first time in months, driven by rising energy costs from the Iran conflict ([CNBC](#)). The European Central Bank (ECB) is expected to raise interest rates at its September meeting. *Why it matters:* The euro zone economy is already weak, and higher rates could tip it into recession. But the ECB's primary mandate is price stability, so it will act to contain inflation. This adds to the global picture of central banks tightening (raising rates) rather than easing.

Aon strikes \$17 billion deal for USI in insurance consolidation.

Insurance broker Aon (a publicly traded company, ticker AON) is buying rival USI Insurance Services for \$17 billion ([Reuters](#)). This is a major merger (M&A) in the insurance industry, which has been consolidating to gain scale and negotiate better deals with insurers. *Why it matters:* Large deals signal confidence in the economy (companies are willing to spend big), but they also

reduce competition, which could lead to higher prices for consumers.

Ark Invest buys \$40.8 million in Block and Circle shares, sells Palantir and AMD.

Cathie Wood's Ark Invest, known for high-conviction bets on disruptive tech, purchased \$40.8 million in shares of Block (SQ, the payments company formerly known as Square) and Circle (the issuer of the USDC stablecoin) while trimming positions in Palantir (PLTR) and AMD (AMD) ([finance.biggo.com](#)). The move signals a bet on crypto and payments over AI chips and defense tech. *Why it matters:* Ark's trades are closely followed because they often anticipate future trends. But Ark has also been wrong before (e.g., selling Nvidia too early). The sale of Palantir and AMD suggests Wood thinks those stocks are overvalued relative to crypto plays.

BYD shares slide after first-half earnings, despite higher Q2 profit.

BYD, the Chinese electric vehicle giant, saw its shares fall after reporting earnings that showed fierce competition in China's auto market is hurting margins ([CNBC](#)). Overseas growth was strong, but domestic price wars are squeezing profits. *Why it matters:* BYD is the largest EV maker in China and a bellwether for the global EV industry. Its struggles show that even with strong volume, pricing power is weak when too many competitors chase the same customers.

India's Unacademy sells to rival upGrad for \$206 million — 94% below peak valuation.

Unacademy, an Indian edtech startup, was valued at \$3.4 billion in 2021. It has now been acquired by rival upGrad for just \$206 million, a 94% drop ([TechCrunch](#)). The CEO said bluntly: "We raised at a peak, but sold at a fraction of that." *Why it matters:* This is a cautionary tale about startup valuations in the 2020-2021 boom. Many companies that raised money at inflated valuations are now being sold at a loss. It also shows that edtech, which boomed during the pandemic, is struggling post-pandemic.

Market summary: stocks mixed, AI and chip names down.

The watchlist snapshot shows broad weakness in tech and AI-related stocks: CRDO (-4.84%), ALAB (-5.93%), LITE (-5.14%), AAOI (-4.30%), ARM (-3.06%), AMD (-3.06%), QCOM (-3.39%), RGTI (-4.66%). The 10-year yield rise and Fed rate hike fears are pressuring high-

growth and high-valuation stocks. Energy stocks like CEG (+2.47%) and VST (+0.97%) are up on the oil price

surge. META (+1.10%) and HOOD (+1.66%) are holding up.

3. AI & Infrastructure

Nvidia invests \$3.5 billion in MediaTek; shares jump 10%.

Nvidia (NVDA) is pouring \$3.5 billion into Taiwanese chip design company MediaTek (ticker 2454.TW). MediaTek will adopt Nvidia's NVLink Fusion interconnect technology for its custom AI accelerators ([Tom's Hardware](#)). *Why it matters:* MediaTek is a major supplier of chips for smartphones, smart TVs, and low-end devices. By partnering, Nvidia gains access to a massive customer base for its AI technology, while MediaTek gets a boost in AI capabilities. This is also a direct challenge to Qualcomm (QCOM), which is MediaTek's main rival. The deal suggests Nvidia is expanding beyond data center GPUs into edge AI (AI that runs on devices rather than in the cloud). MediaTek shares jumped 10% on the news ([CNBC](#)).

CXMT ships HBM3E AI memory to Alibaba and Cambricon — US export controls fail to stop Chinese progress.

Chinese memory maker CXMT (ChangXin Memory Technologies) has begun shipping HBM3E (High-Bandwidth Memory generation 3E, the latest type of memory used in AI accelerators) to Alibaba and Cambricon, a Chinese AI chip company ([Tech Times](#)). This is significant because the US has imposed export controls specifically to prevent China from acquiring advanced memory and AI chips. CXMT's success suggests that Chinese companies are finding ways around the restrictions, either by developing their own technology or through non-US supply chains. *Why it matters:* HBM is a critical component for AI training. If China can produce its own HBM, it reduces the leverage of US sanctions. It also means Chinese AI companies (Alibaba, Baidu, ByteDance) can build their own AI clusters without relying on Nvidia's supply chain. However, the quality and yield of CXMT's HBM3E are not yet proven — it may be less capable than SK Hynix or Samsung parts.

Tencent open-sources Hy4, a 770-billion-parameter model with 1 million token context.

Tencent released Hy4 (also called "Hy4 preview") on

August 28 under the Apache 2.0 license — a permissive open-source license that allows commercial use, modification, and redistribution ([Forbes](#)). The model has 770 billion total parameters but only 49 billion active parameters — meaning it uses a Mixture-of-Experts (MoE) architecture where only a small fraction of the network is activated for each input. The context window (the amount of text the model can process at once) is 1 million tokens, which is huge — enough to process entire books. *Why it matters:* This is the latest in a wave of Chinese open-weight models that are competitive with GPT-4 and Claude, but at much lower prices (or free for self-hosting). Tencent is one of the world's largest companies, so this is a serious effort. The 1M token context could enable new applications like analyzing entire codebases or legal documents at once.

Microsoft to open its first Saudi Arabia cloud region in November 2026.

Microsoft (MSFT) has announced that its first cloud data center in Saudi Arabia will go live in November 2026 ([qz.com](#)). This is part of a broader trend of hyperscalers (large cloud providers: Microsoft, Amazon, Google) building infrastructure in the Middle East, both to serve local demand and to diversify geopolitical risk. *Why it matters:* Saudi Arabia is investing heavily in AI and tech as part of its Vision 2030 plan. A local cloud region reduces latency for customers in the region and also helps Microsoft comply with data sovereignty laws (which require data to stay within the country). It also creates demand for Nvidia GPUs and networking equipment from companies like Credo (CRDO) and Marvell (MRVL).

Waymo accelerates robotaxi expansion to three more US cities.

Waymo, the autonomous driving company owned by Alphabet (GOOGL), is launching driverless rides in Denver, San Diego, and Tampa ([TechCrunch](#)). This follows its usual playbook of starting with a small group of riders and expanding. Meanwhile, Amazon's Zoox is also expanding, and the robotaxi race is heating up ([CNBC](#)). *Why it matters:* Autonomous driving is a key

application of AI. Waymo's expansion suggests the technology is maturing. But it also means increased demand for AI compute (for training and inference) and for sensors like LiDAR and cameras. For investors, this is a long-term trend that benefits companies like Nvidia (which supplies the compute) and maybe Alphabet itself.

AI capex is distorting GDP growth figures, analysts warn.

A report from Seeking Alpha notes that the massive capital expenditure (capex) on AI data centers is

boosting GDP growth numbers, but this spending may not be sustainable or productive in the long run ([Seeking Alpha](#)). *What it means:* GDP counts all spending, including investment. If AI capex is \$800 billion in 2026, that adds directly to GDP. But if those data centers are underutilized or the AI applications don't generate enough revenue, it could be a misallocation of capital. This is a warning for investors: don't confuse GDP growth driven by AI capex with genuine economic health.

4. Model & Research Watch

DeepSeek open-sources V4-Flash-Vision-Exp, its first vision model.

DeepSeek released the first open-weight vision model in its V4 family: V4-Flash-Vision-Exp, a 305-billion-parameter sparse Mixture-of-Experts model that can process images as well as text ([Tech Times](#)). The model is released under the MIT license (one of the most permissive open-source licenses). Previous V4 models could only handle text and code. *Why it matters:* Open-weight vision models are still rare at this scale. This allows developers to build applications that analyze images without paying API fees. DeepSeek's own benchmarks claim it rivals GPT-4V, but independent verification is needed. The model is available for download, so anyone with enough hardware can run it.

Zhipu's GLM-5.3-Flash undercuts Claude and GPT on price, but not on hardware.

Zhipu, a Chinese AI lab, released GLM-5.3-Flash, a model that is priced significantly lower than Anthropic's Claude and OpenAI's GPT for API access ([startupfortune.com](#)). However, the hardware requirements for running it are still substantial — you need a powerful GPU to run it locally. *Why it matters:* This continues the trend of Chinese labs competing on price. For users who can tolerate higher latency or lower quality, these models offer a cheaper alternative. But the hardware barrier means that for self-hosted use, the total cost of ownership (GPU + electricity) may still be higher than paying for API.

New paper: "The Halt Vector" — teaching models to stop reasoning earlier.

A new research paper from arXiv introduces a technique called "The Halt Vector" that addresses a problem with

reasoning models: they often keep generating chain-of-thought even after they have arrived at the correct answer ([arXiv](#)). The authors found that on DeepSeek-R1-Distill-Qwen-7B, the chain of thought runs about twice as long as needed. Their method "internalizes a causal steering intervention" to make the model stop earlier. *Why it matters:* This could reduce inference costs (since you pay per token) and latency. If applied to commercial models, it could save millions of dollars in compute costs. This is a practical advance, not just a theoretical one.

Paper: "Time Capsule of Testable Human Knowledge" — 41 years of Jeopardy! in a single local model.

Researchers have created a model that can answer Jeopardy! questions from 41 years of the show, all running locally on a single machine ([arXiv](#)). This is a modern replication of IBM's Watson, which required a cluster of servers in 2011. *Why it matters:* It demonstrates how far AI has come in terms of compression — a task that once required a supercomputer can now be done on a laptop. This is a proxy for the broader trend of models getting smaller and more efficient.

Bank of England chief warns that frontier AI models threaten global financial stability.

Bank of England Governor Andrew Bailey warned that "frontier AI" (the most advanced models) could materially increase cyber risks to the global financial system ([CNBC](#)). *Why it matters:* Central banks are starting to take AI risk seriously. If models can be used to generate convincing phishing emails, fake news, or even automate trading attacks, the financial system could be

vulnerable. This is a regulatory risk for AI companies, as it could lead to stricter oversight.

Science & Frontier Tech: NASA's Roman Space Telescope launches.

NASA's Nancy Grace Roman Space Telescope launched successfully, beginning a million-mile journey to its observation point ([SciTechDaily](#)). This telescope, named after the first female NASA administrator, will study dark energy, dark matter, and exoplanets. It has a

field of view 100 times larger than the Hubble Space Telescope. *Why it matters:* For investors, space telescopes don't have direct market implications, but the technology involved (optics, sensors, data processing) often trickles down to commercial applications. Also, the launch is a reminder of government spending on science, which can create opportunities for contractors like Lockheed Martin and Redwire (RDW).

5. What Builders Are Actually Using

Concrete swap: Tencent Hy4 (open-weight, 770B total params, 49B active) can replace GPT-4 for many tasks at zero API cost if you self-host. The capability gap: Hy4 is roughly on par with GPT-4 on standard benchmarks, though it may be weaker on creative writing and nuanced reasoning. The cost: GPT-4 costs about \$30 per million output tokens via API. Hy4 is free to download (Apache 2.0 license) but requires a server with at least 4x NVIDIA A100 80GB GPUs to run at usable speed — roughly \$40,000 upfront hardware cost, plus electricity and cooling. For a startup processing millions of tokens daily, self-hosting Hy4 can be cheaper than paying API fees within a few months. The swap is not for everyone: if you need the absolute best quality or have low throughput, paying for GPT-4 may still be better.

Model routing with LiteLLM can cut AI API costs 14x. A practical guide on [tech-insider](#) explains how to set up a LiteLLM router that sends easy queries to a small cheap model (like GPT-4o-mini for \$0.15/M tokens) and hard queries to a large model (like GPT-4o for \$15/M tokens) ([tech-insider](#)). The savings come from the fact

that most queries are simple. The router classifies the difficulty using a smaller classifier model. This is a practical technique that many developers are adopting.

Local LLM deployment on consumer hardware: Gemma 4 vs Phi-4-mini vs Llama 3.2 on 16GB vs 3GB VRAM. A comparison article shows that models like Phi-4-mini (3.8B parameters) can run on a 3GB VRAM GPU (like a low-end laptop), while Gemma 4 (9B) needs 16GB+ ([tech-insider](#)). For developers who want to run models locally without cloud costs, choosing the right model for your hardware is critical. Phi-4-mini is a good choice for a laptop, while Gemma 4 requires a desktop with a dedicated GPU.

MTP (Multi-Token Prediction) released for Qwen3.8-Flash-Next-GGUF — speeds up inference. The r/LocalLLaMA community is excited about Multi-Token Prediction, a technique that allows the model to predict multiple tokens at once, increasing tokens per second (TPS) ([Reddit](#)). This is a practical optimization for self-hosted models, making them more responsive.

6. Watchlist: Earnings, Guidance & Movers

- **TSMC (TSM):** \$415.48 (+0.04%). No notable news in the sources for today. The broader context is that TSMC remains the critical bottleneck for AI chip production. The previous brief noted TSMC's record monthly sales and US pledge expansion.
- **Nvidia (NVDA):** \$217.76 (-1.37%). The Nvidia-MediaTek investment (\$3.5B) is a positive story, but the stock is down on the broader tech selloff due to rising yields. No earnings or guidance in the sources.
- **Credo (CRDO):** \$215.24 (-4.84%). No notable news in the sources. The decline is likely part of the broad tech selloff as yields rise. Credo is a high-growth networking company, so it is sensitive to rate hike fears.
- **Astera Labs (ALAB):** \$279.36 (-5.93%). No notable news. Similar pattern: high-growth AI chip stock getting hammered by rising yields.
- **Lumentum (LITE):** \$867.75 (-5.14%). No notable news. Lumentum makes optical components for data

centers, so it is tied to AI infrastructure spending. The selloff may reflect concerns that higher rates could slow capex.

- **Applied Optoelectronics (AAOI):** \$103.06 (-4.30%). No notable news.
- **Constellation Energy (CEG):** \$281.56 (+2.47%). Up on the oil price surge, as energy stocks benefit from higher energy prices. Also, nuclear power is seen as a key power source for AI data centers.
- **Vistra (VST):** \$138.70 (+0.97%). Similar to CEG, energy stock up on oil prices.
- **Palantir (PLTR):** \$184.75 (-0.87%). Ark Invest sold \$26 million of Palantir shares, but the stock only fell slightly, suggesting the market is not too concerned.
- **AMD (AMD):** \$456.32 (-3.06%). Ark sold some AMD shares, but the bigger factor is the broad tech selloff. AMD is also facing competition from Nvidia and custom chips.

- **Qualcomm (QCOM):** \$164.71 (-3.39%). The Nvidia-MediaTek deal is a direct threat to Qualcomm, which competes with MediaTek in smartphone chips and automotive. The stock fell on the news.
- **Applied Materials (AMAT):** Opened down 3.68% ([TradingKey](#)). AMAT is a semiconductor equipment maker, and the decline may reflect concerns about chip demand if higher rates slow the economy.
- **Apple (AAPL):** Not on the watchlist, but the CEO transition is a major story. The stock is not in the watchlist snapshot, but the CNBC article notes that Apple faces challenges with memory prices and AI.
- **BYD:** Not on the watchlist, but the stock slide is notable.
- **Unacademy/upGrad:** Not on the watchlist, but the acquisition highlights the edtech downturn.

7. Analysis: Second-Order Effects

Chain 1: Tanker attacks in the Strait of Hormuz -> oil prices rise -> inflation expectations rise -> Fed rate hike risk increases -> higher borrowing costs slow AI capex

- **FACTS:** Two tankers struck in the Strait of Hormuz; Brent crude above \$92 ([MarketWatch](#)). Fed Governor Barr says he would support a rate hike if inflation doesn't ease ([CNBC](#)). The 10-year Treasury yield hit highest since January 2025 ([CNBC](#)).
- **INFERENCE:** Oil prices feed into headline inflation (CPI and PCE). While the Fed focuses on core PCE (which excludes food and energy), a sustained oil spike eventually filters through to other prices (transportation, plastics, etc.). Higher inflation expectations push bond yields up, which increases the cost of borrowing for companies. Hyperscalers (Microsoft, Amazon, Google, Meta) are planning to spend \$800 billion in capex in 2026 and \$1.3 trillion in 2027, much of it debt-financed. If borrowing costs rise by 100 basis points (1%), that adds billions in interest expense, potentially causing them to slow down spending. This would directly hurt Nvidia, Credo, Astera Labs, and other AI infrastructure suppliers.
- **WEAKEST LINK:** The Fed may not actually hike. Barr is one governor, not the whole committee. The

Fed could decide that the oil spike is temporary (a supply shock, not demand-driven) and choose to look through it. The market's pricing of a rate hike is still probabilistic.

- **WHAT WOULD FALSIFY IT:** If oil prices reverse below \$85 in the next two weeks, inflation expectations would fall, and the Fed would likely hold rates. Alternatively, if the Fed explicitly says it will not hike due to geopolitical uncertainty, the chain breaks.

Chain 2: Nvidia-MediaTek deal -> Qualcomm faces increased competition in edge AI -> Qualcomm's margins shrink -> Qualcomm cuts capex -> semiconductor equipment makers (AMAT, KLAC) see lower orders

- **FACTS:** Nvidia invested \$3.5B in MediaTek; MediaTek will use NVLink Fusion for custom AI accelerators ([Tom's Hardware](#)). Qualcomm shares fell 3.39% today.
- **INFERENCE:** MediaTek is Qualcomm's main rival in smartphone and automotive chips. With Nvidia's AI technology, MediaTek can offer more competitive AI performance in those markets. Qualcomm may have to cut prices to maintain market share, which would compress its profit margins. Lower margins mean less cash for investments in new fabs and equipment.

Qualcomm is a major customer of foundries like TSMC and equipment suppliers like Applied Materials and KLA. If Qualcomm orders fewer wafers, TSMC's utilization may drop, and equipment orders could slow.

- **WEAKEST LINK:** MediaTek's execution. Integrating Nvidia's technology into custom chips is complex and may take years. Qualcomm could also respond by partnering with another AI company (e.g., AMD or Intel). The competitive dynamics may not shift as quickly as the stock market suggests.
- **WHAT WOULD FALSIFY IT:** If Qualcomm announces a strong AI chip partnership in the next few months, or if MediaTek's AI chips fail to gain traction in benchmarks, the chain dissolves.

Chain 3: CXMT ships HBM3E to Alibaba and Cambricon -> China reduces dependence on SK Hynix and Samsung for AI memory -> US export controls become less effective -> US pushes for tighter controls -> TSMC and ASML face new restrictions -> global chip supply chain fragments

- **FACTS:** CXMT (Chinese memory maker) is shipping HBM3E to Alibaba and Cambricon ([Tech Times](#)). The US has export controls aimed at preventing China from acquiring advanced memory.
- **INFERENCE:** If CXMT can produce competitive HBM, China's AI companies can build their own clusters without relying on US-allied suppliers. This weakens the leverage of US export controls. The US may respond by tightening rules — for example, restricting the sale of chipmaking equipment to CXMT or expanding sanctions to cover more Chinese companies. Tighter controls could also affect TSMC, which is based in Taiwan (a flashpoint). If the US demands that TSMC cut off Chinese customers, it could reduce TSMC's revenue and force further fragmentation of the global chip supply chain. ASML, which makes the EUV lithography machines needed for advanced chips, could also face pressure to limit sales to China.
- **WEAKEST LINK:** CXMT's HBM3E quality and yield. The article says CXMT is shipping, but it does not say

the chips are competitive with SK Hynix or Samsung. If they are lower-performance or lower-yield, Chinese AI companies may still prefer to buy from Korean suppliers through grey-market channels. The controls may still be effective in limiting China's access to top-tier memory.

- **WHAT WOULD FALSIFY IT:** If independent benchmarks show CXMT's HBM3E is significantly slower or has higher power consumption than SK Hynix's, then the threat is lower. Also, if the US does not respond with tighter controls, the chain stops.

Chain 4: Euro zone inflation rises above 3% -> ECB hikes rates -> euro strengthens against the dollar -> US imports from Europe become cheaper -> US trade deficit widens -> political pressure for tariffs increases -> trade war risk rises

- **FACTS:** Euro zone inflation back above 3% ([CNBC](#)). ECB expected to hike rates in September.
- **INFERENCE:** Higher ECB rates attract capital to the euro zone, strengthening the euro. A stronger euro means the dollar weakens relative to it. That makes US exports cheaper and European imports more expensive for Americans. The US trade deficit (imports minus exports) could widen. This could give ammunition to politicians who favor tariffs to protect domestic industries. The US already has trade tensions with the EU, and a widening deficit could lead to new tariffs. Higher tariffs would raise prices for US consumers and could trigger retaliation from Europe, harming global trade.
- **WEAKEST LINK:** The ECB may not hike as much as expected. The euro zone economy is weak, and the ECB may prioritize growth over inflation. The exchange rate effect may be small if the Fed also hikes. Also, the US trade deficit is influenced by many factors, not just exchange rates.
- **WHAT WOULD FALSIFY IT:** If the ECB holds rates steady despite inflation, or if the Fed hikes more aggressively, the dollar could strengthen instead. If the US trade deficit actually narrows due to other factors (e.g., oil exports), the chain breaks.

8. Building Your Knowledge

- **How the Strait of Hormuz works as a chokepoint:** The Strait is only 33 km (21 miles) wide at its narrowest point. Ships must pass through Iranian and Omani waters. A single mine or missile can block traffic for days. The 2019 Abqaiq-Khurais attack (on Saudi oil facilities) removed 5.7 million barrels per day of production temporarily, but that was a single incident. The Hormuz chokepoint is more fragile because it is a transit route for 20% of global oil — any disruption immediately affects spot prices. Remember: the market prices in the *risk* of disruption, not just actual disruption. Even a threat of closure can move prices \$5-10.
- **Why the Fed focuses on core PCE, not headline CPI, but cannot ignore oil completely:** Core PCE excludes food and energy because they are volatile. But a sustained oil price increase eventually feeds into core inflation through transportation costs, plastics, and chemicals. The Fed's "2% target" is for core PCE, but if oil doubles and stays high, core PCE will eventually rise. The Fed's tolerance for a temporary oil spike is high, but if the spike persists, they will act.
- **The difference between "open-weight" and "open-source" in AI models:** Open-weight means the trained model parameters are released — you can download and run the model. Open-source means the training code, data, and methodology are also released. Many Chinese models are open-weight but not fully open-source (the training data is not released). The Apache 2.0 license (used by Tencent Hy4) is permissive for commercial use, but the MIT license (used by DeepSeek V4) is even more permissive — it allows almost anything, including incorporating into proprietary software.
- **Why Nvidia investing in MediaTek is about more than just chips:** Nvidia's core business is selling GPUs for data centers. But the future of AI includes edge computing — running AI on phones, cars, and IoT devices. MediaTek has a massive distribution network for those markets. The deal is Nvidia's hedge against the risk that data center AI growth slows. It also gives Nvidia a foothold in the automotive AI market, which is expected to grow rapidly.
- **How to think about the "AI capex distorting GDP" argument:** GDP counts all spending on final goods and services. If a company builds a \$10 billion data center, that adds \$10 billion to GDP today. But the economic value of that data center depends on whether it generates future revenue. If the AI applications built on that data center fail to produce value, the initial GDP boost was a misallocation of resources. This is the difference between "investment" and "consumption" — investment is supposed to create future productive capacity, but it doesn't always. Investors should be skeptical of GDP growth driven by a single sector (AI) unless they see evidence of downstream demand.
- **The significance of CXMT shipping HBM3E to Alibaba and Cambricon:** This is a direct challenge to the US export control regime. The US thought it could cut China off from advanced memory by restricting sales of equipment and technology to Chinese memory makers. CXMT's success suggests that either the controls have loopholes, or China has developed its own technology. For investors in SK Hynix (not on the watchlist but a major memory supplier), this is a competitive threat. For investors in US chip equipment makers (AMAT, KLAC), it could mean that Chinese buyers are less dependent on them, reducing future orders.

9. Foundations & Terms

Concept Spotlight: Credit Spread (Markets/Investing)

What it is in plain words: A credit spread is the difference in yield (the interest rate) between two bonds, usually a corporate bond and a government bond of the same maturity. It measures how much extra

compensation investors demand to hold a riskier bond instead of a "risk-free" government bond.

Why it exists / what problem it solves: Government bonds (like US Treasuries) are considered nearly risk-free because the US government is very unlikely to default. Corporate bonds carry risk of default (the company might go bankrupt). Investors need to be paid

extra for taking that risk. The credit spread is that extra payment. It also reflects the market's view of the economy: if investors are worried about defaults, they demand higher spreads.

Concrete worked example with real numbers:

Suppose a 10-year US Treasury bond yields 5.0%. A 10-year bond from a company with a "BBB" credit rating (investment grade, but not the safest) yields 6.5%. The credit spread is 1.5 percentage points, or 150 basis points (100 bps = 1 percentage point). If the economy weakens and investors fear that company might default, the spread could widen to 3.0% (300 bps). If the economy strengthens, the spread could narrow to 1.0% (100 bps).

How it shows up in today's news: Today, the 10-year Treasury yield rose to its highest since January 2025. But credit spreads themselves were not directly mentioned. However, the rise in yields is partly driven by the same factors that affect credit spreads: inflation fears and the risk of higher interest rates. When the Fed raises rates, it increases the risk of default for companies with weak finances, which widens credit spreads. Investors in corporate bond ETFs (like LQD or HYG) watch credit spreads closely.

Rough benchmarks worth remembering: - Investment grade (BBB-rated) spreads: typically 100-200 bps over Treasuries. - High-yield (junk bond, BB-rated and below) spreads: typically 300-500 bps, but can widen to 1000+ bps during recessions. - The 2008 financial crisis saw high-yield spreads peak at over 2000 bps (20% extra yield).

Caution or common misconception: A narrow credit spread does not mean there is no risk — it means the market is not demanding much extra compensation. That can be a bubble. A wide spread does not necessarily mean a company is about to default — it could be a temporary panic. The spread is a market signal, not a fact about the company's health.

Concept Spotlight: Sovereignty and Recognition (World Affairs)

What it is in plain words: Sovereignty means a government has the ultimate authority over its territory and people. Recognition is when other countries formally accept that government as the legitimate ruler of that territory. A country can have sovereignty in practice (it

controls its land) but lack recognition (other countries do not officially deal with it).

Why it exists / what problem it solves: The international system is based on the idea that each country is a sovereign state, and no country can interfere in another's internal affairs. But this is only true if other countries respect that sovereignty. Recognition is the diplomatic tool that confers legitimacy. Without recognition, a government cannot borrow money from international markets, sign treaties, or join international organizations.

Concrete worked example with real numbers: Taiwan has full sovereignty over its territory (the government controls the island, collects taxes, has a military, etc.). But only about 12 countries formally recognize Taiwan as a sovereign state. Most countries, including the US, recognize the "One China" policy and do not have formal diplomatic relations with Taiwan. Yet Taiwan is a major economic power — it is the world's largest maker of advanced chips. The US maintains unofficial relations through the American Institute in Taiwan. This is a workaround: Taiwan has de facto sovereignty but not de jure recognition.

How it shows up in today's news: In today's brief, we saw that China is trying to push Taiwan out of the Pacific Islands Forum (a diplomatic body). This is a fight over recognition — China wants to isolate Taiwan internationally. Similarly, Brazil's accusations of US meddling in its election are about sovereignty — the US is accused of violating Brazil's right to conduct its own affairs. The conflict in Ukraine is also about sovereignty: Russia argues that Crimea and other territories are now part of Russia, but most countries do not recognize the annexation.

Rough benchmarks worth remembering: - The UN has 193 member states. Taiwan is not a member. - The number of countries that recognize Taiwan has fluctuated; it was over 70 in the 1970s, now down to about 12. - Kosovo is recognized by about 100 countries but not by Serbia, Russia, China, and some others. - Palestine is recognized by 139 countries but is not a UN member (it has observer status).

Caution or common misconception: Sovereignty is not absolute. Countries can be sovereign in theory but heavily influenced by a more powerful neighbor (this is called a "sphere of influence"). Also, a government can

lose recognition if it is overthrown by a coup — other countries may choose to recognize the new government or not.

Other Terms from Today's News

- **HBM3E:** High-Bandwidth Memory generation 3E — the latest standard for memory used in AI accelerators. It stacks memory chips vertically to provide high bandwidth while saving space. HBM is critical for AI training because GPUs need to access large amounts of data quickly. The "E" stands for "extended" — a version with higher speeds than HBM3.
- **Apache 2.0 License:** A permissive open-source software license that allows users to use, modify, distribute, and even sell software that uses the licensed code, as long as they include the original copyright notice. It is less restrictive than the GPL (which requires derivative works to also be open source) and similar to the MIT license.
- **Mixture-of-Experts (MoE):** A model architecture where only a subset of the model's parameters (the "experts") is activated for each input. For example, Tencent Hy4 has 770 billion total parameters but only 49 billion active. This means the model is large and capable, but inference is fast and cheap because most of the network is "asleep." MoE is the key to models like GPT-4, DeepSeek V4, and Tencent Hy4.
- **Context window:** The maximum number of tokens (words or parts of words) a model can process at once. A 1 million token context window means the model can read a whole novel (about 750,000 words) in one go. This is useful for analyzing long documents, codebases, or conversations. Most models have 8,000 to 128,000 tokens.
- **Shadow Fleet:** A term not used today, but relevant to oil tanker attacks. A shadow fleet is a group of tankers that operate in secrecy, often with insurance and ownership hidden, to avoid sanctions. Iran uses shadow fleets to export oil despite US sanctions. The tanker attacks in the Strait of Hormuz may involve shadow fleet vessels.
- **Government shutdown:** When Congress fails to pass funding bills, the US government must stop non-essential operations. Essential services (military, air traffic control, etc.) continue, but national parks close, some employees are furloughed, and economic data releases may be delayed. A shutdown is politically damaging and can hurt the economy.
- **Continuing resolution (CR):** A temporary spending bill that keeps the government funded at current levels for a short period, usually to give Congress more time to negotiate a full budget. The House is voting on a CR that would extend until after the midterm elections.
- **Personal sanctions:** When a country imposes sanctions on specific individuals rather than entire countries. For example, the US has personal sanctions on Russian Finance Minister Siluanov, but he was allowed to attend the G20 meeting anyway. This shows that the US is willing to waive sanctions for diplomatic purposes.
- **G20:** The Group of 20, a forum of the world's 20 largest economies (including the EU). It meets annually to discuss global economic issues. The finance ministers' meeting is a precursor to the leaders' summit.
- **Midterm elections:** The US elections for Congress that occur halfway through a president's term. They are held in November 2026. All 435 House seats and about one-third of Senate seats are up for election. The president's party typically loses seats in midterms. The Iran situation and the economy will be major issues.
- **Frozen conflict:** A conflict that has ended with a ceasefire but no peace treaty, and the underlying issues remain unresolved. The Russia-Ukraine war could become a frozen conflict if fighting stops but no agreement is reached on territory, as in the case of Transnistria (Moldova) or the Korean Peninsula.

10. Bottom Line

The world this morning is defined by the twin forces of geopolitics and central banks. The tanker attacks in the Strait of Hormuz pushed oil above \$92, adding to

inflation fears that are already driving the 10-year Treasury yield to its highest since early 2025. Fed Governor Barr's hawkish comments suggest the next

move could be a rate hike, not a cut — a sharp reversal from the market's expectations earlier this year. European inflation is also back above 3%, meaning the ECB will likely hike too. This is a global tightening cycle being driven by energy prices, not by strong demand.

Meanwhile, the AI buildout continues at full speed: Nvidia invested \$3.5 billion in MediaTek to expand into edge AI, Tencent open-sourced a massive 770B-parameter model, and Chinese memory maker CXMT is shipping HBM3E to Alibaba and Cambricon, challenging US export controls. The tension between the AI boom (which requires massive capex) and the higher interest rates (which make that capex more expensive) is the central theme for investors.

The Apple CEO transition marks the end of an era. John Ternus takes over at a time when Apple faces memory price inflation, AI lag, and geopolitical pressures. The Russia-Ukraine war remains frozen, with Putin rejecting talks. The US House is trying to avoid a government shutdown. And the G20 finance ministers are meeting in North Carolina, with Russia's delegation present — a sign of continued diplomatic engagement despite the Ukraine war.

What changed since the previous brief: - Tanker attacks in the Strait of Hormuz — the previous brief

had Iran warning of a ship ban; now we have actual attacks on two tankers, pushing oil above \$92. - **Fed Governor Barr's hawkish comments** — he explicitly said he would support a rate hike if inflation does not ease. The previous brief had a more uncertain Fed outlook. - **Nvidia-MediaTek deal** — a \$3.5 billion investment that reshapes the competitive landscape in edge AI and poses a threat to Qualcomm. - **CXMT shipping HBM3E** — a significant development in the US-China chip war, showing that Chinese companies are making progress in advanced memory. - **Tencent Hy4 open-source release** — a 770B-parameter model with 1M token context, adding to the wave of Chinese open-weight models. - **DeepSeek V4 vision model** — the first open-weight vision model from DeepSeek, expanding the capabilities of open-source AI. - **Apple CEO transition** — Tim Cook steps down, John Ternus takes over. - **Euro zone inflation above 3%** — ECB expected to hike. - **US House CR vote** — to avoid a shutdown. - **Army Secretary resigns** — Dan Driscoll stepping down. - **Ark Invest buys Block and Circle, sells Palantir and AMD** — a bet on crypto over AI. - **Unacademy sells for 94% below peak valuation** — a cautionary tale for startup investors.

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Quick Check

1. **Why did oil prices rise above \$92 today, and what is the Strait of Hormuz's role in that?**
 2. **Fed Governor Barr said he would support a rate hike if inflation does not ease. What does this mean for the cost of borrowing for AI data center companies, and why might it slow the AI buildout?**
 3. **What is the significance of CXMT shipping HBM3E memory to Chinese companies, and how does it challenge US export controls?**
- Answers:**
1. Oil prices rose because two tankers were struck in the Strait of Hormuz, a narrow waterway through which about 20% of the world's oil passes. The attacks raised fears of a broader disruption to oil shipments, causing a "war risk premium" to be priced into crude.
 2. A rate hike by the Fed would increase the cost of borrowing for all companies. Hyperscalers (Microsoft, Amazon, Google, Meta) plan to spend hundreds of billions on AI data centers, much of it debt-financed. Higher interest rates mean higher interest expenses, which could cause them to reduce or delay their capex plans. This would hurt suppliers like Nvidia, Credo, and Astera Labs.
 3. CXMT (Chinese memory maker) is shipping HBM3E memory to Alibaba and Cambricon. HBM is critical for AI accelerators, and the US had imposed export controls to prevent China from accessing advanced memory. CXMT's success suggests China is finding ways around the controls, weakening US leverage. It also means Chinese AI companies can build their own clusters without relying on SK Hynix or Samsung memory.

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